# WARRANTY ATLAS · Missouri (MO)

Law last amended: 2023 (eff. 2023-08-28) · Next scheduled change: none found · Last verified: 2026-09-25 · Built 2026-10-26

Cites: Mo. Rev. Stat. § 407.828.1-.2, .7, .9 (compensation; exclusions; rate requests); Mo. Rev. Stat. § 407.828.4, .10-.12 (claims; audits/chargebacks; AHC complaints); Mo. Rev. Stat. §§ 407.822, 407.835; § 301.562 (remedies; license discipline)

## Labor reimbursement by coverage type

| Coverage | Status | Paid hours | Pinpoint / date note |
|---|---|---|---|
| **Factory warranty** | **Required** | Factory time (reasonable/adequate standard where stated) | § 407.828.2 |
| **Mfr-backed service contract** | **Not addressed** | - | § 407.828.1 |
| **CPO warranty** | **Not addressed** | - | § 407.828.1 |
| **Independent service contract** | **Not addressed** | - | § 407.828.1 |

Hourly rate: Principal factor: 'the prevailing wage rates being charged for similar labor and service by the franchisee' to retail customers for non-warranty work. The statute sets no RO sample size or formula. Subsection 7 lists work excluded from the retail-rate calculation. The franchisee may request a rate change at most twice per calendar year and may challenge denials at the AHC within 60 days.

## Audit fields

| Field | Rule | Pinpoint |
|---|---|---|
| **Claim decision** | 30 days; late claim deemed approved: Yes. Must be 'specifically disapproved in writing' within 30 days after receipt. Written notice of an adverse decision starts the dealer's 60-day window to complain to the Administrative Hearing Commission. | Mo. Rev. Stat. § 407.828.4; .10; .12 |
| **Payment** | 30 days after approval. Dealer filing deadline: No statutory deadline. The franchisor may not require a claim to be submitted sooner than 30 days after the work is completed.. If a claim is incomplete or inaccurate, the franchisor must promptly notify the dealer, and the filing deadline extends at least… | |
| **Chargebacks** | 12 months; fraud: 2 years after payment for suspected fraudulent claims, if the franchi…. Only unsubstantiated claims may be charged back. No documentation demands more than 12 months after payment. Before any chargeback, reimbursement or credit, the franchisor must give written notice with a copy of the audit and the detailed reason for each item… | Mo. Rev. Stat. § 407.828.11(1)-(3); .12 |
| **Rate resubmission** | twice per calendar year (requests for a different labor rate or parts rate). Sample: No statutory labor-rate sample. Excluded: Discounted / promotional, Other (see text), Engine / transmission assembly, Routine maintenance, Tires, Prep / reconditioning. | Mo. Rev. Stat. § 407.828.9; exclusions .7; principal factor… |
| **Mfr response** | Silent; no response = approved: no rule in statute. Challenge: Principal factor for reasonable labor compensation: 'the prevailing wage rates being charged for similar labor and service by the franchisee' to retail customers for nonwarranty work (the dealer's own rates since the 2023 amendment) Forum: Administrative Hearing Commission (§ 407.822). File within 60 days af…. | Mo. Rev. Stat. § 407.828.12; principal factor § 407.828.2 |
| **Penalties** | § 407.835.1: actual damages plus litigation expenses, including expert fees and attorney fees, and injunctive relief. § 407.835.2: punitive damages for willful violations. Arbitration mandates, jury waivers, out-of-state forums and fee-shifting to the dealer are void (.3). AHC complaint with automatic stay (§§ 407.822, 407.828.12). Dep… | Mo. Rev. Stat. §§ 407.822, 407.828.12, 407.835; § 301.562 |
| **Audit procedures** | Audit climate score 37/100 (Elevated restrictiveness; chargeback limits 30/75 + process and oversight 7/25; measures how strict the law is, not how likely a dispute is; weights in draft). Advance notice: no; selection basis disclosed: no; frequency cap: none; written reasons: yes; response period: none; internal appeal: no; held pending appeal: yes; extrapolation: silent; clerical-error protection: no; rate validation: broader or no procedure. | |

## Statute quotes

***Claims*** *(Mo. Rev. Stat. § 407.828.4; .10; .12): "Any claims not specifically disapproved in writing within thirty days after the receipt of the form shall be considered to be approved and payment shall be made within fifteen days thereafter."*

***Chargebacks*** *(Mo. Rev. Stat. § 407.828.11(1)-(3); .12): "A franchisor may only audit warranty, sales, or incentive claims and charge-back to the franchisee unsubstantiated claims for a period of twelve months following payment, subject to all of the provisions of this section."*

***Rate*** *(Mo. Rev. Stat. § 407.828.9; exclusions .7; principal factor…): "A franchisee shall not request a franchisor to approve a different labor rate or parts rate more than twice in one calendar year."*

***Factory time*** *(§ 407.828.2): "The schedule shall also include reasonable and adequate time allowances for the diagnosis and performance of preparation, delivery, and warranty service to be performed in a careful and professional manner."*

## Notes

The statute has no labor-rate declaration procedure, sample or response deadline. Disputes run through the AHC complaint process. Time comes from the franchisor schedule, which must include 'reasonable and adequate time allowances'. Deemed-approved claims are paid in 15 days (it was 10 before 2023 S.B. 398). Dealers need not keep defective parts more than 30 days after submission. Free parts are paid at average markup, except whole engine, propulsion engine (including EV battery) and transmission assemblies (.8). Incentive claims are paid within 10 days of approval (.6).

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